Tour

Figure 48.1 shows an example of a pennant in a downward price trend. I show the pennant bounded by two converging trendlines in the middle of the figure. However, the entire pattern actually begins days before the trendlines.

Price eases lower in November and into the start of December. A flagpole, upon which all pennants hang, begins with the straight-line run down that's fast. In 4 days, the stock tumbles from about 25 to 20, retraces to create the pennant, and resumes the downward plunge when price gaps (breakaway gap) lower in January.

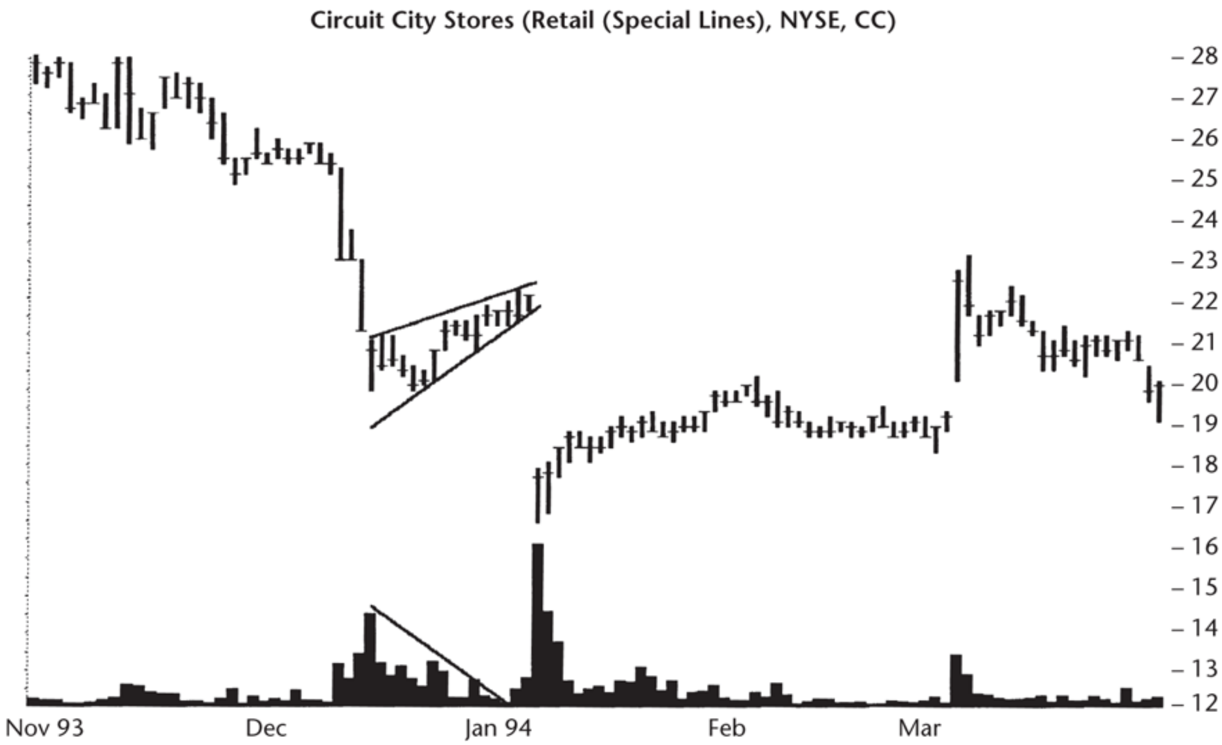

Figure 48.1 A pennant bounded by two converging trendlines looks like a short rising wedge.

In a pennant, two sloping trendlines eventually meet to resemble a small wedge or triangle. Sometimes the trendlines slope upward, as in the figure, and sometimes they do not. Usually, they slope (tilt) upward in a downtrend and downward in an uptrend (that is, against the prevailing trend).